



Corporation

Incorporating your consulting business as a corporation is another option, particularly if you plan to grow your firm substantially or seek external funding. Corporations are separate legal entities from their owners (shareholders), providing limited liability protection for the shareholders' assets. There are two main types of Corporation-



C corporations

C corporations are subject to double taxation, meaning that the corporation's profits are taxed at the corporate level, and any dividends distributed to shareholders are taxed again at the individual level.



S corporations

On the other hand, S corporations are pass-through entities, allowing profits and losses to be passed through to the shareholders' personal tax returns, avoiding double taxation.

Incorporating your consulting firm can offer several advantages, such as increased credibility, potential access to capital, and the ability to provide stock options to employees. However, it's essential to consider the additional administrative and compliance requirements and the potential costs associated with incorporating and maintaining a corporation.



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